

their financial position. They'll see a large increase in the value of their home, just like they knew would happen all those years ago. They're now sitting on several hundred thousand dollars of equity, driven by slowly paying down their mortgage and the long-term appreciation of their beautiful neighborhood.

They'll look back and talk about how their forever home was the best "investment" they ever made.

Well, of course it was! It was the *only* large investment they ever made.

By allowing the lure of the dream home to pull at their heartstrings (and their purse strings), they made a decision that will negatively impact their lives for decades. And guess what? It would be no surprise if they build those hundreds of thousands of dollars of equity just to sell their home to buy a bigger, better, nicer home down the street.

## WHY YOU SHOULD CARE

Alex and Shelby may have struggled for a while, but it all worked out in the end. And besides, your great-great-grandpa bought his house when it was only \$300, and now it's worth \$300,000—so why not follow in his footsteps?

Well, the times they are a-changing, and the American dream just won't cut it anymore.

Not only is the current financial situation wildly different than in great-great-grandpa's day—high rental costs make it difficult to save for a down payment, and an increase in education debt makes it difficult to apply for a mortgage<sup>1</sup>—but the concept of retirement isn't what it used to be. Younger generations have recognized the change and are rolling with the punches: They're cutting frivolous spending and handling their future retirement with a much more self-sufficient approach. The concept of "financial freedom" allows folks to retire early, evade the corporate rat race, and follow their dreams.

The same changes apply to homes and mortgages: Millennials are, on average, delaying getting married, having fewer children, and buying smaller houses.<sup>2</sup> Why try to keep up with an outdated standard? Buying a home that